

Multiple Choice

1. **Answer:** A

Options: A) Geographic diversity of farming regions; B) Environmental concerns; C) Consumer preference for organic produce; D) Lack of funding; E) Technological advancements in agriculture

Note: Correct option: A - Geographic diversity of farming regions

2. **Answer:** A

Options: A) The ability to buy goods and services; B) A financial instrument that represents ownership in a company; C) A system where goods and services are exchanged for commodities; D) A government-issued bond or security; E) A method of payment

Note: Correct option: A - The ability to buy goods and services

3. **Answer:** A

Options: A) $P = ATC > MR = MC$; B) $P = ATC = MR > MC$; C) $P > MR = MC = ATC$; D) $P = MR = MC > ATC$; E) $P = MR > MC = ATC$

Note: Correct option: A - $P = ATC > MR = MC$

4. **Answer:** C

Options: A) The price of the land is entirely made up of transfer earnings.; B) Economic rent remains constant while transfer earnings fluctuate with market demands.; C) Transfer earnings are zero and the price of the land is entirely made up of economic rent.; D) Both transfer earnings and economic rent increase proportionally.; E) Transfer earnings and economic rent vary inversely; as one increases, the other decreases.

Note: Correct option: C - Transfer earnings are zero and the price of the land is entirely made up of economic rent.

5. **Answer:** B

Options: A) It is often used to meet emergencies.; B) Its quantity is controlled by the government rather than by market forces.; C) It is backed by a physical commodity like gold or silver.; D) It encourages the accumulation of debt through interest-free loans.; E) It is used for buying military supplies during a war.

Note: Correct option: B - Its quantity is controlled by the government rather than by market forces.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'Decision lag and effect lag'.

Long Form Response

11. **Answer:** Net exports and GDP both fall.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** Monopoly and monopsony are the same. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key